LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What is Real Estate Collateral Funding?

Developed by www.loanbazaaronline.com

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Module 1: Theoretical Foundations and Product Philosophy of Real Estate Collateral Funding

1.1 Concept of Asset-Backed Term and Revolving Credit

In the Indian financial ecosystem, corporate growth and business expansion frequently outpace available operational cash flows. While micro, small, and medium enterprises (MSMEs) and mid-market corporates generate steady operational revenues, standard unsecured business loans impose restrictive sanction limits, high interest rates, and short repayment horizons that create severe debt-service friction. **Real Estate Collateral Funding (RECF)**—commercially structured as **Loan Against Property (LAP)** or **Property-Backed Term/Overdraft Facilities**—serves as the primary institutional mechanism to bridge this liquidity gap.

RECF is a fund-based credit facility extended by scheduled commercial banks, non-banking financial companies (NBFCs), and housing finance companies (HFCs) secured by a primary or collateral mortgage over unencumbered or under-encumbered real estate assets. The underlying property assets may encompass residential apartments, commercial office spaces, industrial factory premises, logistics warehouses, or clear-titled non-agricultural land parcels. Unlike primary acquisition home loans, where debt proceeds are strictly earmarked to fund property purchases, Real Estate Collateral Funding provides unencumbered, multi-purpose liquidity that borrowers deploy for capital expenditure (capex), factory expansion, working capital augmentation, vendor payments, or high-cost debt consolidation.

1.2 Real Estate Equity Extraction and Unlocking Illiquid Wealth

Real estate represents the single largest illiquid asset class on the balance sheets of Indian business promoters and corporate entities. Over time, commercial and residential real estate in urban and industrial growth corridors experiences substantial market appreciation. However, this appreciation remains paper equity—trapped within immovable assets—unless unlocked through credit engineering or property liquidation.

Outright property sale to raise business capital is commercially sub-optimal. Real estate liquidation triggers immediate, heavy **Capital Gains Tax liabilities** under **Sections 45, 48, 111A, and 112 of the Income Tax Act, 1961**, deprives the entity of operational factory or office premises, incurs substantial brokerage friction, and forfeits future property compounding gains.

Real Estate Collateral Funding operates on the Compounding Preservation Principle. By pledging real estate as mortgage security, the borrower extracts liquid

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cash (typically between **40% and 65% of the property's Fair Market Value**) while retaining complete legal ownership, operational possession, and full upside capital appreciation of the property asset. Furthermore, because the credit facility is fully secured by immovable property, lenders price RECF at significantly lower interest rates than unsecured business loans, extending amortizing tenures of up to **15 years (180 months)** or structured dropping-line overdraft limits that minimize monthly debt-service obligations.

1.3 Refinancing vs. Primary Acquisition Home Loans

To establish strict conceptual clarity, rookies in finance must distinguish Real Estate Collateral Funding from traditional Home Loans and Commercial Property Purchase Loans:

1. **Primary Acquisition Home Loans:** Designed exclusively for individual borrowers to purchase, construct, or extend residential housing. Underwriting is governed by housing finance directions, LTV ratios are capped between **75% and 90%**, and proceeds are paid directly to property sellers or real estate developers. End-use is strictly restricted to residential property acquisition.
2. **Commercial Property Purchase Loans:** End-use restricted credit facilities granted to acquire specified commercial offices, shops, or factory sheds, where the property being purchased is simultaneously mortgaged to the bank.
3. **Real Estate Collateral Funding (LAP / Property Overdrafts):** Refinancing or equity-extraction credit facilities secured against property *already owned* by the promoter, business entity, or group companies. End-use is flexible—encompassing business expansion, machinery purchase, debt consolidation, or trade cycle funding. Underwriting evaluates both the **Collateral Security Coverage (LTV)** and the **Borrower's Cash Flow Repayment Capacity (FOIR/DSCR)**.

1.4 Credit Substitution and Risk Alignment in Indian Mortgage Banking

At its core, Real Estate Collateral Funding relies on the **Credit Substitution Principle**. In standalone unsecured lending, a bank assumes 100% credit default risk tied directly to the borrower's volatile operational cash flows. If the borrower experiences a trade downturn or supply chain shock, the bank faces an immediate, uncollateralized credit loss.

Under RECF, the lender mitigates operational credit risk by substituting it with immovable property security. If a borrower defaults on debt servicing, the bank holds an enforceable, first-priority mortgage charge over tangible real estate registered with the

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Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI) and the **Registrar of Companies (ROC)**. In the event of uncured default, the lender enforces statutory recovery rights under the **Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act, 2002**, taking physical possession of the property without judicial intervention and auctioning it in the open market to liquidate outstanding dues. This robust legal recourse reduces the lender's Loss Given Default (LGD), enabling banks to offer lower interest margins and extended tenures.

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Module 2: Structural Taxonomy and Comparative Analysis (The Real Estate Credit Matrix)

To position Real Estate Collateral Funding within the broader landscape of Indian corporate and MSME finance, trainees must evaluate its structural parameters against competing debt instruments:

Credit Dimension	Real Estate Collateral Funding (RECF / LAP)	Unsecured Business Loans	Cash Credit (CC) / Working Capital Line	Lease Rental Discounting (LRD)
Primary Collateral	First-priority mortgage on Residential, Commercial, or Industrial Property.	None (Unsecured / Personal/Corporate Guarantee only).	Hypothecation of Current Assets (Stock & Debtors) + Secondary Property.	Assignment of Lease Rentals + Mortgage of Leased Commercial Asset.
Loan-to-Value (LTV) Ceiling	Residential: 50% - 65%Commercial: 45% - 55%Industrial/Land: 35% - 45%	N/A (Based on 10% - 20% of audited turnover).	60% - 75% on Paid Stock & Debtors (< 90 days).	55% - 70% of Present Value (PV) of discounted net rentals.
Indicative Tenure	5 Years to 15 Years (60 to 180 Months).	1 Year to 3 Years (12 to 36 Months).	12 Months (Renewable annually based on conduct).	5 Years to 12 Years (Tied to lease lock-in period).
Repayment Structure	Monthly Equated Monthly Installment (EMI) or Dropping Line OD.	Fixed Monthly EMI.	Interest paid monthly on utilized limit; principal revolving.	Direct Rent Escrow auto-sweep matching monthly EMI.
Turnaround Time (TAT)	10 to 21 Working Days	3 to 7 Working Days.	14 to 30 Working Days (Stock	14 to 21 Working Days (Lease

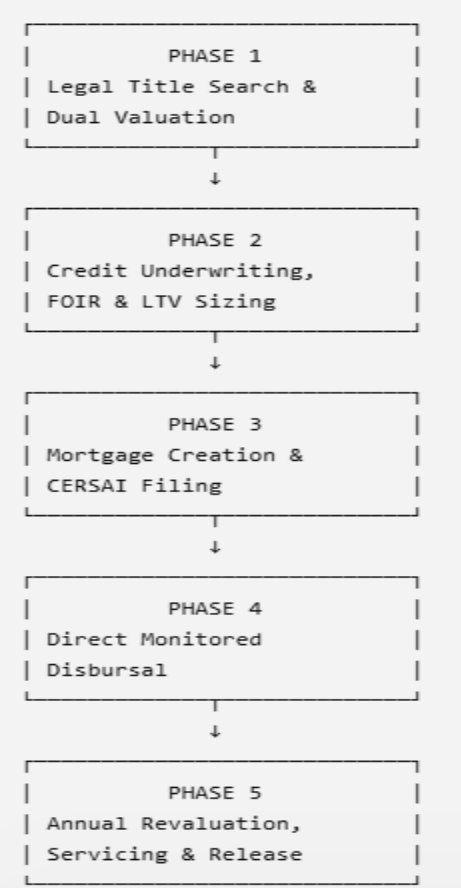
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Credit Dimension	Real Estate Collateral Funding (RECF / LAP)	Unsecured Business Loans	Cash Credit (CC) / Working Capital Line	Lease Rental Discounting (LRD)
	(Technical Valuation & Legal Title Search required).		audit & valuation required).	deed legal vetting & Escrow setup).
Interest Pricing Spreads	8.75% to 11.50% p.a. (EBLR / MCLR linked).	16.00% to 24.00% p.a. (Fixed / Reducing).	9.00% to 12.50% p.a. (EBLR / MCLR linked).	8.50% to 10.50% p.a. (EBLR / MCLR linked).
CERSAI & ROC Filings	Mandatory CERSAI and ROC Form CHG-1 registration within 30 days.	Unsecured (No CERSAI/ROC charge unless guarantee pledged).	Mandatory CERSAI and ROC Form CHG-1 registration within 30 days.	Mandatory CERSAI and ROC Form CHG-1 registration within 30 days.
Balance Sheet Treatment	Disclosed as Long-Term Secured Borrowings under Ind AS 16 / Ind AS 109.	Disclosed as Short-Term Unsecured Borrowings.	Disclosed as Short-Term Secured Working Capital Borrowings.	Disclosed as Long-Term Secured Debt under Ind AS 40.

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Module 3: The End-to-End Operational Lifecycle of RECF

The execution and risk management of a Real Estate Collateral Funding transaction follows a rigid 5-phase operational pipeline:



3.1 Phase 1: Legal Title Search & Dual Technical Valuation

The operational lifecycle begins upon receipt of the borrower's property title documents. Before sizing the credit limit, the lender initiates two independent due diligence workflows:

1. **Legal Title Search Report (TSR):** An empanelled bank advocate conducts an exhaustive Search and Title Investigation at the office of the Sub-Registrar of Assurances (SRO) spanning a continuous historical chain of **13 to 30 years**. The TSR verifies that the property has a clear, marketable, and unencumbered title, free from pre-existing mortgages, court attachments, tax liens, litigation, or statutory acquisition notices. The legal advocate verifies the chain of title deeds (Sale Deeds, Partition Deeds, Gift Deeds, Mutation Entries, and Approved Building Plans).

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2. **Dual Technical Valuation:** To establish the true market value of the collateral, the lender commissions **two independent empanelled valuer engineers**. The valuers inspect the property, measure built-up areas, check municipal approvals, and estimate two distinct values:
    - **Fair Market Value (FMV):** The estimated gross realization price obtainable in an open, competitive real estate market.
    - **Realizable Value (RV) / Liquidation Value:** The forced-sale price achievable within a short 30-to-90-day liquidation window (typically **80% to 85% of FMV**). Underwriting LTV caps are strictly calculated on the **lower of the two valuation reports**.

3.2 Phase 2: Credit Underwriting, FOIR & LTV Sizing

In parallel with property appraisal, credit underwriters evaluate the financial health and debt-servicing capacity of the borrowing entity. The underwriter establishes the **Maximum Permissible Bank Finance (MPBF)** by balancing Collateral Coverage against Cash Flow Repayment Metrics:

- **Collateral Coverage Sizing:** Apply LTV ceilings based on property asset class:

$$Collateral\ Limit\ =\ Lower\ Valuation\ FMV\ \times\ Asset\ LTV\ Cap\ (\%)$$

- **Cash Flow Repayment Sizing:** Calculate the **Fixed Obligation to Income Ratio (FOIR)** or **Debt Service Coverage Ratio (DSCR)**:

$$FOIR\ (\%)\ =\ \frac{Existing\ Monthly\ Obligations + Proposed\ RECF\ EMI}{Net\ Monthly\ Operational\ Income}\ \times\ 100$$

  For MSMEs and corporate borrowers, standard credit policy caps total FOIR at **50% to 65%**. The approved loan amount is capped at the *lower* of the Collateral Limit and the Cash Flow Capacity Limit.

3.3 Phase 3: Legal Mortgage Creation & CERSAI Charge Registration

Upon credit sanction, the security creation mechanism is executed. In India, real estate mortgages are created primarily through one of two legal structures: - **Equitable Mortgage (Deposit of Title Deeds) under Section 58(f) of the Transfer of Property Act, 1882:** The borrower deposits original title deeds with the bank at a designated notified town, executing a formal Memorandum of Entry (MOE). - **Simple / Registered Mortgage under Section 58(b) of the Transfer of Property Act, 1882:** Executed via a formal Mortgage Deed registered at the SRO, applicable in states where equitable mortgage stamp duty is higher.

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Within **30 days of security creation**, the lender files Form CHG-1 with the Registrar of Companies (for corporate borrowers) and registers the security interest on the **CERSAI portal** to establish first-priority charge against all creditors.

3.4 Phase 4: Monitored Disbursal & Escrow Control

To eliminate capital diversion risk, disbursal proceeds are systematically routed based on sanctioned end-use: - **Debt Consolidation:** Funds are disbursed directly to existing lenders via RTGS/NEFT to obtain No Objection Certificates (NOCs) and deed releases. - **Machinery Purchase / Capex:** Funds are remitted directly to equipment manufacturers or EPC contractors against certified proforma invoices. - **Working Capital Infusion:** Proceeds are credited to the company's primary Cash Credit or Operating Current Account, integrated with bank statement monitoring.

3.5 Phase 5: Annual Revaluation, Servicing & Deed Release

During the 5-to-15-year tenure, the borrower services monthly EMIs or dropping-line OD limits. Lenders conduct annual property revaluations and physical site inspections to monitor asset condition. Upon full debt repayment, the bank issues a Deed of Reconveyance / Satisfaction of Charge, files ROC Form CHG-4, removes CERSAI liens, and hands over all original title deeds to the promoter.

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Module 4: Underwriting Framework, Property Appraisal & Key Credit Metrics

4.1 Property Valuation Mechanics

Empanelled valuation engineers employ three standard valuation methodologies to determine property value:

1. **Comparable Sales Method:** Applied primarily to residential flats, commercial offices, and land parcels. Evaluates recent registered sale deeds of comparable properties in the immediate micro-market, adjusting for floor rise, frontage, road width, and construction quality.
2. **Capitalization of Net Income Yield Method:** Applied to tenanted commercial properties or industrial assets. Converts the net annual rental income generated by the property into capital value using a market capitalization rate (cap rate):

$$Capital\ Value = \frac{Gross\ Annual\ Rent - Property\ Taxes\ \&Maintenance}{Market\ Capitalization\ Rate\ (\%)}$$

3. **Cost / Replacement Method:** Applied to specialized factory premises or industrial sheds. Combines the market value of the land parcel with the depreciated replacement cost of the building structures:

$$\text{Building Value} = \text{Built-up Area} \text{Current Construction Cost/sq.ft.} 1 - \text{Annual Depreciation Rate} \text{Age}$$

4.2 Classical Working Capital Sizing Frameworks

Underwriters integrate classical working capital frameworks to assess borrower creditworthiness:

1. **Tandon Committee's Second Method of Lending:** Mandates that a borrower must contribute at least **25% of total current assets** as Net Working Capital (NWC) from long-term funds. Bank borrowing is capped at **75% of current assets minus current liabilities**, requiring a target Current Ratio of strictly **1.33:1** or higher.
2. **Projected Turnover Method (PTM / Nayak Committee):** Mandated for MSME limits up to **₹5 Crores**. Total working capital requirement is estimated at **25% of projected annual turnover**, where the borrower brings 5% as equity and the bank finances the remaining **20%**.
3. **Cash Budget Method (CBM):** Applied to seasonal industries or fast-growing contractors. Sizes limits based on peak monthly cash deficits identified in a 12-month cash budget.

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4.3 Borrower Scorecard & Verification Tools

To validate financial data, underwriters deploy real-time verification tools: - **Promoter CIBIL Score:** Target score must be **> 700**. Ranks below 650 indicate credit distress. - **CIBIL MSME Rank (CMR):** Target rank must be between **CMR 1 and CMR 4** on a scale of 1 (lowest default risk) to 10 (highest default risk). - **Interest Coverage Ratio (ICR):** Target ICR must be **> 1.25x**:

$$ICR = \frac{EBITDA}{Gross\ Interest\ Expense}$$

- **Bank Statement Analysis (BSA):** Deployed via Account Aggregator (AA) APIs to detect circular transactions, cheque bounces, or undisclosed debt servicing. - **GST API Real-Time Validation:** Cross-examines GSTR-1 (sales liability) and GSTR-3B (tax payment) declarations to verify top-line turnover claims.

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Module 5: Legal Security Architecture, Mortgage Law, and CERSAI Covenants

The legal validity and statutory priority of Real Estate Collateral Funding depend on strict compliance with Indian property and banking laws.

5.1 Section 58(f) Transfer of Property Act, 1882 – Equitable Mortgage

An **Equitable Mortgage** (Mortgage by Deposit of Title Deeds) is the most common legal mechanism used to secure bank loans against real estate in India. Under **Section 58(f) of the Transfer of Property Act, 1882**, a person in a notified town delivers to a creditor or their agent documents of title to immovable property with intent to create a security thereon.

Key Legal Elements: - **Delivery of Title Deeds:** Physical handover of original registered title deeds (Chain of Title Deeds covering 13-30 years). - **Intention to Create Security:** The delivery must be executed specifically to secure the debt, documented via a formal **Memorandum of Entry (MOE)** recorded by the bank officer. - **Notified Town:** The deposit must occur in a town specifically notified by the State Government under Section 58(f). - **Stamp Duty & Registration:** While equitable mortgages do not require formal registration at the SRO in several states, states like Maharashtra, Karnataka, and Tamil Nadu levy specific stamp duty and mandate registration of the Notice of Intimation (NOI) within 30 days.

5.2 Section 58(b) Transfer of Property Act, 1882 – Simple / Registered Mortgage

Under **Section 58(b)**, where without delivering possession of the mortgaged property, the mortgagor binds themselves personally to pay the mortgage money and agrees that in the event of default, the mortgagee shall have a right to cause the mortgaged property to be sold. A Registered Mortgage requires formal execution of a Mortgage Deed, payment of full ad-valorem stamp duty, and registration at the SRO under the **Registration Act, 1908**.

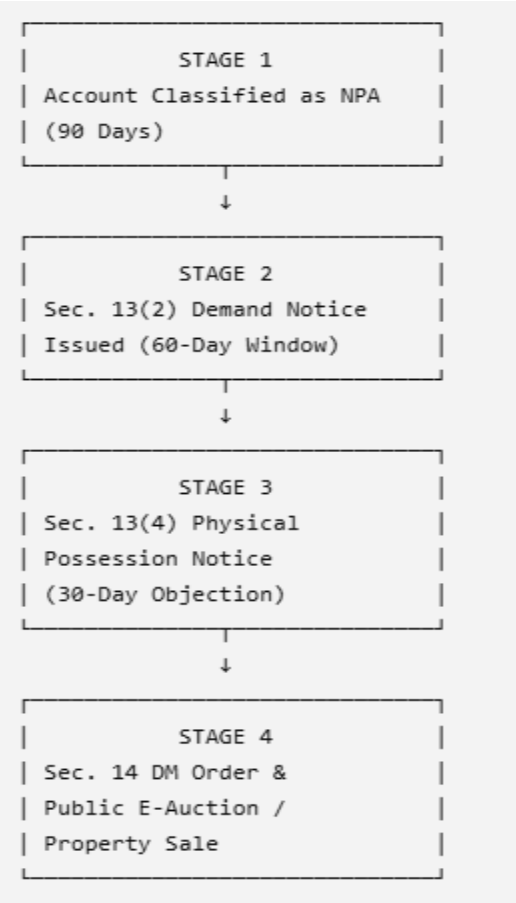
5.3 Section 130 Transfer of Property Act, 1882 – Assignment of Actionable Claims

When real estate assets generate active lease rentals, the borrower executes an absolute assignment of lease receivables under **Section 130 of the Transfer of Property Act, 1882**. This legally binds the tenant to deposit future rent payments directly into the lender’s designated Escrow Account.

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5.4 SARFAESI Act, 2002 Foreclosure Architecture

The **Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act, 2002** provides revolutionary recovery powers to secured lenders, allowing them to foreclose on mortgaged properties without judicial intervention:



1. **Classification as NPA:** Account remains overdue for **> 90 days** under RBI IRACP norms.
2. **Section 13(2) Demand Notice:** Lender issues a formal 60-day statutory demand notice calling upon the borrower/guarantor to discharge total outstanding liabilities.
3. **Section 13(4) Possession Notice:** If the borrower fails to pay within 60 days, the bank issues a possession notice, taking symbolic or physical possession of the mortgaged property.
4. **Section 14 DM/ADM Application:** Lender files an application with the District Magistrate (DM) or Chief Metropolitan Magistrate (CMM) to obtain police assistance for physical possession.

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5. **Public E-Auction:** Property is auctioned under Security Interest (Enforcement) Rules, 2002, with reserve price set by empanelled valuers. Sale proceeds liquidate bank dues, and surplus is refunded to the borrower.

5.5 CERSAI and ROC Registration Guidelines

- **CERSAI Registration:** Under Chapter IV-A of the SARFAESI Act, 2002, lenders must register all mortgage security interests on the **CERSAI portal within 30 days** of charge creation. Non-registration voids the secured creditor priority against third-party buyers or liquidators under the **Insolvency and Bankruptcy Code (IBC), 2016**.
- **ROC Form CHG-1:** Corporate borrowers must file Form CHG-1 with the Registrar of Companies within 30 days under **Section 77 of the Companies Act, 2013**.

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Module 6: Sectoral Sizing, Suitable Business Profiles, and Macroeconomic Context

6.1 Suitable Industries and Business Profiles

Real Estate Collateral Funding caters to capital-intensive sectors requiring long-term, stable debt financing:

1. **Manufacturing Units & Engineering Enterprises:** Funding plant expansion, industrial shed construction, or purchasing high-precision CNC machinery. Real estate collateral secures long-term debt matching the economic life of capital assets.
2. **Wholesale & Retail Distributors:** Financing seasonal inventory buildup, extending trade credit to dealer networks, or funding distribution infrastructure.
3. **Civil Contractors & EPC Companies:** Providing margin money for bank guarantees, performance bonds, or mobilizing equipment for government infrastructure projects.
4. **Healthcare, Hospitality & Educational Establishments:** Funding construction of hospital wings, hotels, or educational campuses where specialized real estate assets serve as primary security.

6.2 Working Capital and Macroeconomic Trends in India

Macroeconomic credit data underscores the critical role of asset-backed lending in India: - **MSME Working Capital Concentration:** According to the SIDBI MSME Pulse Report, **Retail and Wholesale Traders represent the largest single concentration of commercial borrowers, accounting for 44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore exposure segment. Unsecured credit limits are insufficient for this segment, making property-backed refinancing essential. - **Public Sector Digital Supply Chain Platforms:** State Bank of India (SBI) operates massive digital supply chain financing portals: - **SBI e-DFS (Electronic Dealer Financing Scheme):** Actively supports distributor networks with a portfolio exceeding **₹49,261 Crores**. - **SBI e-VFS (Electronic Vendor Financing Scheme):** Supports upstream suppliers with an active portfolio exceeding **₹28,092 Crores**.

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Module 7: Commercial Pricing Mechanics, Cost-Benefit Ratios, and Interest Tax Shields

7.1 Commercial Pricing Benchmarks & Spreads

Interest rates on Real Estate Collateral Funding are benchmarked against official reference rates mandated by the Reserve Bank of India: - **External Benchmark Linked Rate (EBLR):** Mandated for MSMEs and retail borrowers. Tied directly to external benchmarks—primarily the **RBI Repo Rate**. Bank interest rates equal the Repo Rate plus a spread determined by credit rating and collateral asset class (typically **8.75% to 10.50% p.a.**). - **Marginal Cost of Funds Based Lending Rate (MCLR):** Applied to large corporate borrowers, reset annually (typically **9.25% to 11.50% p.a.**).

7.2 Upfront Fees and GST Applicability

- **Processing / Appraisal Fees:** Ranging from **0.50% to 1.50%** of sanctioned loan amount.
- **GST Treatment:** All upfront processing fees, technical valuation charges, legal advocate fees, and stamp duty payments attract standard **18% GST**.
- **Tax Exemption on Interest:** Crucially, **interest paid on bank borrowings is completely exempt from GST**.

7.3 Corporate Interest Tax Shield

Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on capital borrowed for the purpose of business or profession is a fully deductible tax expense. Business entities utilize this interest tax shield to lower their effective post-tax borrowing cost.For a corporate entity operating under the **25.17% tax slab** (Base corporate tax rate 22% + 10% Surcharge + 4% Health & Education Cess under Section 115BAA):

$$\text{Effective Post-Tax Interest Rate (\%)} = \text{Pre-Tax Nominal Rate (\%)} 1 - \text{Corporate Tax Rate}$$

$$Effective\ Post\ -\ Tax\ Rate\ =\ 9.25\%\ \times (1\ -\ 0.2517) = 6.92\%\ p.a.$$

7.4 Amortization Mechanics: EMI vs. Dropping Line Overdraft

- **Equated Monthly Installment (EMI):** Fixed monthly payment combining principal reduction and interest on reducing balance. Ideal for term capex and debt consolidation.
- **Dropping Line Overdraft (DLOD):** A revolving current account limit where the sanctioned Drawing Power automatically drops equal monthly amounts over the tenure. Interest accrues strictly on daily negative balances utilized, allowing borrowers with fluctuating trade cash flows to minimize gross interest outlay.

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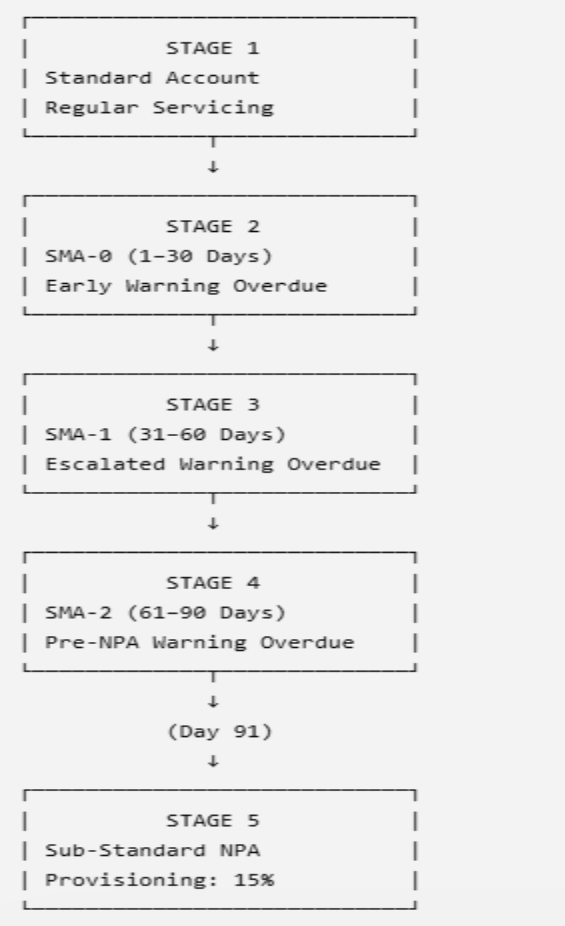
Module 8: Regulatory Compliance, RBI Guidelines, and Asset Classification

8.1 RBI Master Directions on Commercial Bank Credit Facilities (2025)

Commercial lenders must comply with the Reserve Bank of India's Master Directions: - **Loan System for Delivery of Bank Credit:** For large corporate borrowers with aggregate fund-based working capital limits of **₹150 Crores and above** from the banking system, banks must enforce a minimum **60% "loan component"** (in WCDL or term loans), capping revolving cash credit at 40%. - **Minimum Property LTV Caps:** RBI directions mandate maximum LTV ceilings based on property classification to prevent real estate bubble exposure.

8.2 RBI IRACP Asset Classification and Delinquency Clock

Under the RBI's **Income Recognition, Asset Classification, and Provisioning (IRACP) Guidelines (2025)**, credit accounts are classified based on payment conduct:



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- **SMA-0:** Principal or interest payment overdue for **1 to 30 days**.
- **SMA-1:** Principal or interest payment overdue for **31 to 60 days**.
- **SMA-2:** Principal or interest payment overdue for **61 to 90 days**.
- **Non-Performing Asset (NPA):** Overdue for **> 90 days**.

8.3 “Out of Order” Revolving Overdraft Defaults

A revolving Real Estate Overdraft facility is classified as “Out of Order” (and downgraded to NPA) if: 1. The outstanding balance remains continuously in excess of the sanctioned limit/Drawing Power for **90 days**. 2. Or, if there are no credit inflows into the account for **90 days**, or total credit inflows are insufficient to cover interest debited during the same 90-day window.

8.4 The 180-Day Technical Review Default Rule

Commercial banks must complete annual credit reviews and renewals of all revolving limits. If a bank fails to review or renew a limit within **180 days** from its scheduled renewal due date, the limit is automatically classified as a technical default and downgraded to NPA status.

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Module 9: Comprehensive Real-World Case Study (Mumbai Engineering & Tooling Pvt. Ltd.)

To ground these theoretical concepts in commercial reality, this module analyzes a detailed, step-by-step mathematical scenario in Indian Rupees (₹) modeling a structured Real Estate Collateral Funding transaction.

9.1 The Corporate Profile & Financial Bottleneck

- **Borrowing Entity:** *Mumbai Engineering & Tooling Pvt. Ltd. (METPL)*
- **Industry Sector:** Auto Component Manufacturing & High-Precision Tooling (Tier-2 supplier to auto OEMs).
- **Corporate Tax Rate: 25.17%** (Base tax 22% + Surcharge + Cess under Section 115BAA).
- **The Debt Crisis:** METPL experienced rapid turnover growth, reaching an annual sales turnover of **₹28,00,00,000 (₹28 Crores)**. However, to fund raw material purchases and meet strict delivery schedules, METPL raised **₹3,00,00,000 (₹3 Crores)** across three high-cost unsecured business loans at an average weighted interest rate of **18.00% p.a.** over a 3-year tenure.
- **Cash Flow Strain:** Servicing these unsecured loans imposed a crushing monthly EMI burden of **₹10,84,572.00**, severely draining operational cash flows, depressing the company's Debt Service Coverage Ratio (DSCR) to an unsustainable **0.92x**, and threatening to trigger a default on supplier payments.
- **The Collateral Asset:** METPL owns an industrial factory premises in Navi Mumbai spanning 12,000 sq. ft., completely unencumbered, with a fresh independent Fair Market Value (FMV) of **₹6,00,00,000 (₹6 Crores)**.

9.2 The Structured RECF Refinancing Solution (Pathway B)

A scheduled commercial bank restructures METPL's balance sheet by approving a 10-Year Real Estate Collateral Funding (LAP) facility: 1. **Sanction Amount: ₹3,00,00,000 (₹3 Crores)** disbursed to consolidate 100% of unsecured loans. 2. **Collateral Offered:** Equitable Mortgage (Section 58(f)) over the Navi Mumbai factory premises valued at ₹6 Crores, resulting in a conservative **50.00% LTV** (well within the bank's 60% LTV cap for industrial assets). 3. **Interest Pricing: 9.25% p.a.** (EBLR Repo Rate 6.50% + 2.75% spread), reducing balance amortization. 4. **Tenure: 10 Years (120 Months)**. 5. **Upfront Processing Fee: 0.50%** (₹1,50,00,00) + 18% GST (₹27,000).

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9.3 Detailed 120-Month Mathematical Cost Comparison Model

Financial Metric	Pathway A: High-Cost Unsecured Debt (Status Quo)	Pathway B: Structured RECF Refinancing Facility
Loan Principal Consolidated	₹3,00,00,000	₹3,00,00,000
Weighted Average Interest Rate	18.00% p.a.	**9.25% p.a.** (EBLR-linked)
Amortization Tenure	3 Years (36 Months)	**10 Years (120 Months)**
Monthly Loan EMI Cash Outflow	**₹10,84,572.00 / month**	**₹3,83,992.00 / month**
Monthly Working Capital Relief	Baseline (Cash Strained)	**+₹7,00,580.00 / month in saved cash**
Upfront Processing Fees (excl. GST)	₹6,00,000.00 (2.00%)	₹1,50,000.00 (0.50%)
Upfront GST on Processing Fee (18%)	₹1,08,000.00 (recoverable ITC)	₹27,000.00 (recoverable ITC)
Gross Cumulative Pre-Tax Interest	₹90,44,592.00 (36 Months)	**₹1,60,79,040.00 (120 Months)**
Corporate Income Tax Shield (25.17%)	-₹22,76,523.81	**-₹40,47,094.37** (under Sec 36(1)(iii))
Net Post-Tax Cumulative Interest	₹67,68,068.19	**₹1,20,31,945.63**
DSCR Post-Restructuring	**0.92x** (Severe Default Risk)	**1.88x** (Highly Healthy & Stable)
10-Year ROCE Yield on Unlocked Cash	₹0.00	**+₹1,84,31,048.00** (reinvested @ 15% p.a.)

9.4 Key Financial Findings and “So What” Analysis

The financial comparison demonstrates the power of asset-backed debt restructuring:

1. **Immediate Treasury & Liquidity Relief:** By extending loan tenure from 3 to 10 years and reducing the interest rate from 18.00% to 9.25%, METPL reduces its monthly debt service from ₹10.84 Lakhs to ₹3.84 Lakhs—generating an immediate **monthly cash flow cushion of +₹7,00,580.00**.

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2. **DSCR Restored to Safety Thresholds:** METPL's Debt Service Coverage Ratio surges from a precarious **0.92x** (SMA-2 default warning zone) to a robust **1.88x**, eliminating default risk and restoring credit rating status to CRISIL BBB.
3. **Capital Compounding Maximization:** Reinvesting the unlocked ₹7.00 Lakhs monthly cash flow back into METPL's core operating cycle (operating at a 15.00% ROCE) generates an estimated **net wealth surplus of ₹1,84,31,048.00 over 10 years**, vastly outpacing the extended interest cost.

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Module 10: 10-Question Professional Certification Examination & Rationales

This certification exam tests a trainee's underwriting, legal, and regulatory mastery of Real Estate Collateral Funding in India.

Question 1

A corporate borrower offers a commercial office premises in Mumbai with a Fair Market Value (FMV) of ₹10 Crores and a forced Liquidation / Realizable Value (RV) of ₹8 Crores. If the bank's credit policy mandates a maximum LTV ceiling of 50.00% on commercial real estate calculated on the lower valuation, what is the maximum loan amount sanctioned? - A) ₹5.00 Crores - B) ₹4.00 Crores - C) ₹4.50 Crores - D) ₹6.00 Crores * **Answer:** B * **Rationale:** Credit policy mandates that LTV must be calculated on the lower of FMV and RV. The lower valuation is the Realizable Value of ₹8 Crores. Applying the 50% LTV ceiling yields: $₹8\ Crores \times 0.50 = ₹4.00\ Crores$.

Question 2

Under Section 58(f) of the Transfer of Property Act, 1882, how is an Equitable Mortgage created on immovable property? - A) By registering a formal Mortgage Deed at the SRO after paying full ad-valorem stamp duty. - B) By depositing original title deeds with the bank in a notified town with intent to create security. - C) By transferring physical possession of the property to the bank officer. - D) By executing a power of attorney in favor of the Registrar of Companies. * **Answer:** B * **Rationale:** Section 58(f) defines an Equitable Mortgage as a mortgage created when a person in a notified town delivers to a creditor original documents of title to immovable property with intent to create a security thereon.

Question 3

To preserve first-priority security charge status against other creditors, within how many days must a bank register an equitable mortgage on the CERSAI portal under the SARFAESI Act, 2002? - A) 15 Days - B) 30 Days - C) 60 Days - D) 90 Days * **Answer:** B * **Rationale:** Under Chapter IV-A of the SARFAESI Act, 2002, security interests must be registered on the CERSAI portal within a strict statutory window of **30 days** from the date of security creation.

Question 4

A manufacturing company pays ₹40,00,000 in interest on its Real Estate Collateral Funding facility during the financial year. If the company operates under the 25.17% corporate tax slab (Section 115BAA), how much tax savings does the company achieve under Section 36(1)(iii) of the Income Tax Act, 1961? - A) ₹40,00,000 - B) ₹10,06,800 -

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C) ₹6,00,000 - D) ₹15,00,000 * **Answer:** B * **Rationale:** Under Section 36(1)(iii), interest paid on business debt is fully tax deductible. Tax savings = $Gross\ Interest \times Tax\ Rate = ₹40,00,000 \times 0.2517 = ₹10,06,800.00$.

Question 5

Under the SARFAESI Act, 2002, what is the mandatory time window granted to a defaulting borrower under a Section 13(2) Demand Notice before the bank can issue a Section 13(4) Possession Notice? - A) 15 Days - B) 30 Days - C) 60 Days - D) 90 Days * **Answer:** C * **Rationale:** Section 13(2) mandates a statutory **60-day demand notice** requiring the borrower to clear total outstanding liabilities before the bank can enforce Section 13(4) physical or symbolic possession.

Question 6

During working capital underwriting under the Tandon Committee's Second Method of Lending, what is the target minimum Current Ratio the borrower must maintain? - A) 1.00:1 - B) 1.15:1 - C) 1.33:1 - D) 1.50:1 * **Answer:** C * **Rationale:** The Tandon Second Method requires the borrower to contribute at least 25% of current assets as Net Working Capital from long-term sources, establishing a mandatory minimum Current Ratio of **1.33:1**.

Question 7

According to SIDBI MSME credit reports, which business segment accounts for the largest single concentration of active commercial borrowers (at 44% of total borrowers) in the ₹10 Lakh to ₹2 Crore exposure segment in India? - A) Auto OEM Component Suppliers - B) Retail and Wholesale Traders - C) Infrastructure Civil Contractors - D) IT & Software Exporters * **Answer:** B * **Rationale:** SIDBI MSME Pulse data highlights that Retail and Wholesale Traders represent **44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore limit segment.

Question 8

Under RBI IRACP guidelines, after how many continuous days of overdue status is a fund-based credit account classified as a Non-Performing Asset (NPA)? - A) 30 Days - B) 60 Days - C) 90 Days - D) 180 Days * **Answer:** C * **Rationale:** Under RBI IRACP norms, a fund-based account is classified as an NPA if principal or interest payments remain overdue for **more than 90 days**.

Question 9

A revolving Real Estate Overdraft account has a sanctioned Drawing Power of ₹2 Crores. The outstanding balance remains at ₹2.10 Crores continuously due to

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unserviced interest. After how many days does this facility trigger an “Out of Order” classification? - A) 30 Days - B) 60 Days - C) 90 Days - D) 180 Days * **Answer:** C * **Rationale:** Under RBI guidelines, a revolving facility becomes “Out of Order” if the outstanding balance continuously exceeds the sanctioned Drawing Power for **90 days**.

Question 10

If a commercial bank fails to execute the mandatory annual credit review and renewal of an active revolving working capital limit, after how many days from the scheduled renewal due date is the account classified as a technical default? - A) 60 Days - B) 90 Days - C) 120 Days - D) 180 Days * **Answer:** D * **Rationale:** RBI rules state that if an active revolving limit is not renewed within **180 days** from its scheduled renewal due date, it is classified as a technical default and downgraded to an NPA.

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